

# Medical Necessity and Severity Alignment Policy

Policy ID: POL-MED-003 | Version: 1.0 | Effective: 2024-01-01

## 1. Purpose

This policy defines the requirement that the severity of a patient's condition must align with the procedures billed and the amounts charged. Claims where severity does not justify the billed treatment are subject to denial.

## 2. Severity Score Definition

The severity\_score is an integer value assigned based on the patient's diagnosis and condition category. Higher scores indicate more serious conditions requiring intensive treatment. The score is used to validate whether billed procedures are medically appropriate.

## 3. Severity vs Billing Rules

| Rule                    | Threshold / Condition                      | Action          |
|-------------------------|--------------------------------------------|-----------------|
| Low Severity, High Bill | severity_score <= 1 and high_cost_flag = 1 | Claim denied    |
| Moderate Misalignment   | severity_score = 2 and billed_vs_avg > 2.0 | Review required |
| High Severity, Low Cost | severity_score >= 4 and billed < expected  | Approved        |
| Severity Score Missing  | severity_score = 0 or null                 | Manual review   |

## 4. Category and Severity Alignment

The claim category (e.g. Diabetes, Skin, Fever, Bone, Heart) must be consistent with the diagnosis code and the severity score. A claim categorised as Low severity for a condition like Cardiology or Bone with high billed amounts will be flagged as inconsistent and denied unless additional documentation is provided.

## 5. Diagnosis Count Requirement

diagnosis\_count reflects the number of diagnoses associated with a patient. Claims with zero or very low diagnosis counts for high-severity conditions indicate incomplete documentation and will be held pending submission of full diagnosis records.

## 6. Required Documentation

- Severity score must be supported by a valid diagnosis code.
- High severity claims (score  $\geq 4$ ) require physician notes and procedure justification.
- Low severity claims billed above average cost require written medical justification.
- Claims with severity\_score = 0 cannot be processed until score is assigned.